

Instructor Guide

NELLEN, YOUNG, CRIPE, LASSAR, PERSELLIN, CUCCIA, CORPORATIONS, PARTNERSHIPS,
ESTATES & TRUSTS 2026, 9798214044033; CHAPTER 11: S CORPORATIONS

TABLE OF CONTENTS

Chapter Objectives	1
Chapter Outline.....	2

CHAPTER OBJECTIVES

The following objectives are addressed in this chapter:

- 11.1 Explain the tax effects of S corporation status on shareholders.
- 11.2 Identify corporations that qualify for the S election.
- 11.3 Explain how to make an S election.
- 11.4 Explain how an S election can be terminated.
- 11.5 Compute nonseparately stated income, and identify separately stated items.
- 11.6 Allocate income, deductions, and credits to shareholders.
- 11.7 Determine how distributions to S corporation shareholders are taxed.
- 11.8 Calculate a shareholder's basis in S corporation stock.
- 11.9 Explain the tax effects of losses on shareholders.
- 11.10 Compute the various S corporation penalty taxes.
- 11.11 Describe other tax issues applicable to S corporations.
- 11.12 Engage in tax planning for S corporations.

[\[return to top\]](#)

CHAPTER OUTLINE

In the outline below, each element includes references (in parentheses) to related content. “CO CH.##” refers to the chapter objective; “PPT Slide #” refers to the slide number in the PowerPoint deck for this chapter (provided in the PowerPoints section of the Instructor Resource Center); and, as applicable for each discipline, accreditation or certification standards (“BL 1.3.3”). Introduce the chapter and use the Ice Breaker in the PPT if desired, and if one is provided for this chapter. Review learning objectives for Chapter 11 (PPT Slides 2–4).

- I. Choice of Business Entity (11.1, PPT Slides 7–12)
 - i. S corporation status provides many of the benefits of partnership taxation plus limited liability for the owners similar to a C corporation. Thus, an S corporation is a hybrid of a partnership and a C corporation.
 - 1. S corporations are organized under state law.
 - 2. Income, deductions, and tax credits of the S corporation flow through to its shareholders, regardless of whether distributions are made to the shareholders.
 - 3. Payments to S shareholders by the corporation are distributed tax-free to the extent the distributed earnings were previously taxed.
 - ii. Differences/similarities between Federal tax treatment of S corporations and partnerships include:
 - 1. Liabilities affect an owner’s basis differently.
 - 2. S corporations may incur a tax liability at the corporate level.
 - 3. S corporations may not make a special allocation of tax items.
 - 4. Distributions of appreciated property are taxable in an S corporation situation.
 - 5. The liquidation of C and S corporations is taxed in the same way. If S corporation provisions are silent, C corporation rules apply.
 - a. An Overview of S Corporations
 - i. S corporations can be advantageous even when the individual tax rate exceeds the corporate tax rate. (See Examples 1 and 2 in the text.)
- II. Qualifying for S Corporation Status (11.2, PPT Slides 13–21)
 - a. Defining an S Corporation
 - i. To achieve S corporation status, a corporation first must qualify as a small business corporation. Each of the following requirements must be met for an entity to qualify as an S corporation:
 - 1. The entity must be a domestic corporation.
 - 2. The entity must be an eligible corporation.

3. Only one class of stock can be issued.
4. The number of shareholders cannot exceed the theoretical 100 maximum.
5. Shareholders may only include individuals, estates, certain trusts, and exempt organizations.
6. Shareholders may not include nonresident aliens.
- ii. There are no maximum or minimum dollar sales or capitalization restrictions. Thus, the “business” does not have to be “small.”
- iii. Ineligible Corporations. Ineligible corporations include non-U.S. corporations, banks, and insurance companies.
 1. An S corporation may have a subsidiary called a qualified Subchapter S subsidiary (QSSS). This subsidiary must be owned 100% by the S corporation.
 2. It is treated as a separate entity for legal purposes but is treated as a division of the parent for Federal income tax purposes. [§ 1361(b)(3)(B)]
- iv. One Class of Stock. A small business corporation may have only one class of stock issued and outstanding. [§ 1361(b)(1)(D)]
 1. This restriction permits differences in voting rights but not differences in distribution or liquidation rights. [§ 1361(c)(4)]
 2. Authorized and unissued stock, treasury stock of another class, unexercised stock options, warrants, and convertible debt usually do not constitute a second class of stock. [Reg. § 1.1361-1(I)]
- v. Number of Shareholders. An S corporation theoretically is limited to 100 shareholders. However, for purposes of the 100-shareholder limit, a married couple is treated as one shareholder as are all members of a family. This rule allows the entity stock to be held by more than 100 shareholders. Note, though, that over 99% of all S corporations have 10 or fewer shareholders. Family members include the following:
 - A common ancestor.
 - Lineal descendants of the common ancestor.
 - Spouses and former spouses of lineal descendants.
 - Spouses and former spouses of the common ancestor.[§ 1361(c)(1)]
- vi. Type of Shareholder Limitation.
 1. S corporation shareholders can be:
 - U.S. residents.
 - Estates.
 - Certain trusts.
 - Certain tax-exempt organizations.
 - Charities.
 - Qualified retirement plans other than IRAs.

- One-person LLCs.
- 2. Partnerships and corporations cannot own S corporation stock, but small business corporations can be partners in a partnership or shareholders in a corporation. (See Example 5 in the text.)
- vii. Nonresident Aliens. An individual who is not a U.S. citizen or resident alien cannot be a shareholder in a small business corporation. [§ 1362(b)(1)(C)]
 - 1. Individuals who are not citizens must live in the United States in order to own stock.
 - 2. In community property states, an individual with a nonresident alien spouse cannot own S corporation stock.
- b. Making the Election (11.3, PPT Slides 22–26)
 - i. The timing in making the S election can be of crucial significance when a newly formed corporation is involved. The election is made by a small business corporation on Form 2553 and all the shareholders must consent.
 - 1. For S corporation status to apply in the current tax year, the election must be filed either in the previous year or on or before the fifteenth day of the third month of the current year.
 - 2. A corporation must meet the eligibility requirements for the entire year including the days before the election was made. Otherwise, the election is not effective until the following tax year.
 - 3. An election cannot be made for a corporation that is not in existence. Thus, a new corporation with a premature election will not be valid. A new corporation comes into existence at the earliest of the following events:
 - When the corporation has shareholders.
 - When it acquires assets.
 - When it begins doing business. [Reg. § 1.362–6(a)(2)(ii)(C)] (See Example 8 in the text.)
- c. Shareholder Consent
 - i. All shareholders must consent in writing to the S election [§ 1362(a)(2)]. A consent extension is available only if Form 2553 is filed on a timely basis, reasonable cause is given, and the interests of the government are not jeopardized. [§ 1362(b)(5) and Reg. § 1.1362–6(b)(3)(iii)] (See Example 9 in the text.)
 - 1. Both husband and wife must consent if they own stock jointly. (See Example 10 in the text.)
 - 2. All individuals that were shareholders for any part of the year (even before the election was made) must consent to the S election. [§ 1362(b)(2)(B)(ii)] (See Example 11 in the text.)
- d. Loss of the Election (11.4, PPT Slides 27–33)

- i. An S election remains in force until it is revoked or lost. It can be lost in a number of ways.
 - 1. Shareholders owning a majority of the stock (voting and nonvoting) voluntarily revoke the election.
 - 2. A new shareholder owning more than one-half of the stock affirmatively refuses to consent to the election.
 - 3. The corporation no longer qualifies as an S corporation.
 - 4. The corporation fails the passive investment income test.
- ii. Voluntary Revocation. Voluntary revocation of the S election requires consent of the shareholders holding a majority of the stock on the day the revocation is made. [§ 1362(d)(1)]
 - 1. Revocations filed up to and including the fifteenth day of the third month of the tax year are effective for the entire tax year unless a later date is specified. (See Example 12 in the text.)
 - 2. Revocation can also be made prospectively by specifying a future date.
 - (a) The day the revocation occurs is treated as the first day of the C corporation year. The corporation allocates income or loss for the entire year on a pro rata basis, using the number of days in each short year. (See Example 13 in the text.)
 - (b) The corporation can elect to compute actual income or loss attributable to the two short years. This election requires the consent of everyone who was a shareholder at any time during the S corporation's short year and everyone who owns stock on the first day of the C corporation year. [§ 1362(e)(3)] (See Example 14 in the text.)
- iii. Loss of S Corporation Status.
 - 1. If an entity fails to qualify as an S corporation, its status as an S corporation ends.
 - 2. The termination occurs on the day the S requirement is violated. [§ 1362(d)(2)(B)] (See Example 15 in the text.)
- iv. Passive Investment Income Limitation.
 - 1. If an S corporation (having accumulated E & P from prior Subchapter C years) derives too much passive investment income in three consecutive years, the S election will be terminated. (See Examples 16 and 17 in the text.)
 - 2. Passive investment income (dividends, interest, rents, gains and losses from sales of capital assets, and royalties net of investment deductions) in excess of 25% of gross receipts is considered excessive.
 - 3. The S election is terminated as of the beginning of the fourth year. [§ 1362(d)(3)(A)(ii)]

- v. Reelection after Termination. After termination, the corporation must wait five years before reelecting S status. The five-year waiting period is waived if:
 - 1. There is a more-than-50% change in ownership of the corporation after the first year for which the termination is applicable.
 - 2. The event causing the termination was not reasonably within the control of the S corporation or its majority shareholders.Conditions that a corporation must meet before S corporation status is available are illustrated in Exhibit 11.2 in the text.

III. Operational Rules

- i. The taxable income of S corporations is determined much the same as that of partnerships.
 - 1. Accounting method and other elections are made at the entity level.
 - 2. The amount and nature of income, deductions, losses, and credits are determined at the entity level and allocated to shareholders as of the last day of the corporation's tax year.
 - 3. The flow-through of each item of income, deduction, and credit from the corporation to the shareholder is illustrated in Exhibit 11.3 in the text.
- a. Taxable Income (11.5, PPT Slides 34–42)
 - i. An S corporation's taxable income or loss computation is similar to that of partnerships, except that S corporations amortize organizational expenditures under the C corporation rules [§§ 248 and 1363(b)(3)] and must recognize gains, but not losses, on distributions of appreciated property to shareholders. [§ 311(b)] Other provisions unique to C corporations (e.g., the DRD, § 291 recapture) do not extend to S corporations. [§ 703(a)(2)]
 - ii. Income and expense items are divided into two types for reporting.
 - 1. Nonseparately stated income or loss.
 - 2. Separately stated income, losses, deductions, and credits that could affect the tax liability of any shareholder in a different manner.
 - (a) Separately stated items are identical to those of partnerships. See the list of specific items in the text.
 - (b) Separately stated items are listed on Schedule K of the Form 1120–S.
 - (c) Separately stated items are determined first. The aggregated residual income and expenses become the nonseparately stated income.
 - 3. All items of income and loss retain their character as they pass through to each shareholder. For example, tax-exempt income

at the corporate level will be tax-exempt income at the shareholder level. (See Example 18 in the text.)

- b. Qualified Business Income Deduction
 - i. To bring the taxation of flow-through entities such as S corporations closer to the C corporation 21% rate, shareholders of certain S corporations (and other qualified flow-through entities) may deduct up to 20% of certain qualified business income (QBI).
 - ii. The qualified business income deduction (QBID) is the lesser of:
 - 1. 20% of qualified business income, or
 - 2. 20% of modified taxable income,
 - 3. But not to exceed 50% of shareholder's allocable W-2 wages.
- c. Allocation of Income and Loss (11.6, PPT Slides 43–46)
 - i. Each shareholder is allocated a pro rata portion, on a per-share per-day basis, of both the separately and nonseparately stated items even if there is no distribution during the year.
 - 1. In case of the transfer of stock during the year, this method may result in a shareholder being allocated items of income, deductions, etc., from periods in which they did not own stock, or being allocated much more or less than what they would have been allocated if the allocation had been based on their ownership at the time the item was earned, incurred, etc.
 - 2. When a shareholder disposes of stock during the year, the transferor (seller) is considered to own the stock on the date of transfer, not the transferee (buyer).
 - (a) Formula for per-share per-day:
$$\text{S corporation item} \times \text{Percentage of shares owned} \times \text{Percentage of year shares were owned} = \text{Amount of item to be reported. (See Example 19 in the text.)}$$
 - ii. The Short-Year Election. If a shareholder's interest is completely terminated, an election may be made to split the taxable year into two with the first ending on the date of termination. (See Example 20 in the text.)
 - 1. A pro rata allocation within each short year will result in a closer matching of income, loss, etc., to the shareholders who held stock at the time the income, loss etc., was generated. Pro rata per-day allocation must be used unless the shareholder disposes of the entire interest.
 - 2. All shareholders and the corporation must join in the election to treat the S taxable year as two taxable years.
- d. Distributions to Shareholders (11.7, PPT Slides 47–59)
 - i. The amount of any actual distribution of wealth (like cash) to an S corporation shareholder is equal to the cash plus the fair market value of any other property distributed. How the distribution is

taxed depends upon whether the S corporation has C corporation accumulated earnings and profits (AEP).

- ii. No C Corporation AEP. If the S corporation has never been a C corporation or if it holds no C corporation AEP:
 - The distribution is a tax-free recovery of capital to the extent that it does not exceed the shareholder's basis in the stock of the S corporation.
 - The excess is treated as a gain from the sale or exchange of property (capital gain in most cases). (See Example 21 in the text.)
- iii. C Corporation AEP Exists. If the S corporation has C corporation AEP, the treatment is a blend of the entity and conduit approaches.
 1. Distributions of S earnings are tax-free to the extent of the shareholder's adjusted basis in the stock.
 2. Distributions of C corporation AEP are taxed as dividends.
 3. Concept Summary 11.1 in the text summarizes the classification procedures for distributions from an S corporation.
 4. The Accumulated Adjustments Account. To determine whether a distribution comes from S corporation earnings, a special account, the accumulated adjustments account (AAA), is required.
 - (a) The AAA begins with a zero balance. AAA is a corporate-level account and reflects the cumulative income and losses for all the S years. In this respect, it is similar to the C corporation AEP. AAA provides a mechanism to ensure that the earnings of an S corporation are taxed to the shareholders only once.
 - (b) The AAA is computed by adjusting in a specific order—refer to Exhibit 11.4 in the text.
 - (1) The balance is determined at the end of each year.
 - (2) When there is more than one distribution during the year, a pro rata portion of each distribution is treated as having been made out of AAA.
 - (c) In calculating AAA for purposes of determining the tax treatment of current-year distributions, the net negative adjustments for that tax year are ignored. Tax-exempt income and related expenses do not affect the AAA.
 - (d) A shareholder has a proportionate interest in the AAA, regardless of the size of their stock basis. [§ 1368(c)] But the benefits of the AAA can be shifted from one shareholder to another shareholder.
 - (e) Except in the case of a stock redemption, there is no adjustment to AAA when a shareholder transfers stock to another shareholder. Thus, a selling shareholder should

- obtain a distribution from AAA before a stock transfer or at least consider the AAA in determining the selling price.
- (f) AAA can have a negative balance at the end of the taxable year (accumulated operating losses) unlike stock basis, which cannot be reduced below zero. However, distributions to the shareholders cannot cause or add to a negative balance.
5. Distribution Ordering Rules. Distributions are first considered to come from the AAA account (tax-free recovery of capital reducing shareholder's stock basis), then from C corporation AEP (treated as a dividend), then from OAA (tax-free recovery of capital to the extent of the shareholder's stock basis).
- (a) Once the basis reaches zero, any distributions are treated as capital gains. [§§ 1368(c)(2) and (3)] (See Examples 22 and 23 in the text.)
 - (b) Shareholders can elect to have a distribution treated as if it were made from AEP. This is known as the AAA bypass election. (See Example 24 in the text.)
6. Other Aspects of the AAA.
- (a) Schedule M-2. Schedule M-2 of Form 1120-S reports changes in the AAA account. (See Example 25 in the text.)
 - (1) The column labeled "Other adjustments account" (OAA) is where items that affect basis but not AAA are entered. This is usually tax-exempt income and its related expense.
 - (2) Distributions are made from the OAA after AEP and the AAA are depleted to zero. Distributions from the OAA are generally tax-free.
 - (b) Schedule M-3: Net Income or Loss Reconciliation. Schedule M-3 is the net income or loss reconciliation for corporations with total assets on Schedule L that equal or exceed \$10 million at the end of the tax year. This is filed in lieu of Schedule M-1.
 - (c) Effect of Terminating the S Election. Distributions to shareholders from a C corporation are taxed as dividends to the extent of E & P.
 - (1) However, S corporation cash distributions made to shareholders during a one-year period after terminating the S election receive a different treatment.
 - (2) They are treated as a tax-free recovery of stock basis if not more than AAA. (See Example 26 in the text.)
 - (3) Since only cash distributions reduce the AAA during this postelection termination period, a corporation

should not make property distributions during this time.

- (d) To take advantage of post-termination benefits, an S corporation must know the amount of both the AAA and the OAA as of the date the election terminates.

e. Noncash Property Distributions

- i. An S corporation recognizes a gain on any distribution of appreciated property in the same manner as if the asset were sold to the shareholder at its fair market value. [§ 311(b)]
 - 1. Gains pass through to the shareholders. Their character, ordinary or capital, depends upon the type of asset being distributed.
 - 2. A shareholder's basis in the distributed property is the property's fair market value.
 - 3. Because loss property receives a step-down in basis without any loss recognition by the S corporation, distributions of loss property should be avoided.
 - 4. Refer to Concept Summary 11.2 and Examples 27 and 28 in the text.

f. Shareholder's Basis in S Stock (11.8, PPT Slides 60–66)

- i. A shareholder's basis in S stock is required for determining gain (or loss) upon disposition, determining the deductibility of loss pass-throughs, and determining the treatment of distributions. Further, a shareholder's basis in loans to an S corporation can impact the deductibility of loss pass-throughs, as well as the treatment of loan repayments.
- ii. Stock Basis Adjustments. The calculation of the initial tax basis of stock in an S corporation is similar to that for the basis of stock in a C corporation because § 351 applies to the creation of S corporations. A shareholder's basis will be affected by the following items:
 - 1. First, a shareholder's basis is increased by stock purchases and capital contributions. Operations during the year cause the following upward adjustments to basis:
 - (a) Nonseparately computed income.
 - (b) Separately stated income items (e.g., nontaxable income).
 - (c) Depletion in excess of basis in the property.
 - 2. Basis then is reduced by distributions not reported as income by the shareholder (e.g., an AAA distribution). Next, the following items reduce basis (but not below zero):
 - (a) Nondeductible expenses of the corporation (e.g., fines, penalties, and illegal kickbacks).
 - (b) Nonseparately computed loss.

- (c) Separately stated loss and deduction items. (See Example 29 in the text.)
- iii. Shareholder Loans to S Corporations. A shareholder's basis in S stock can never be reduced below zero. Once stock basis reaches zero, losses and deductions (but not distributions) reduce the shareholder's basis in loans specifically made to the corporation. This basis also cannot be reduced below zero.
 - 1. When the corporation subsequently generates income or other net basis increases, the basis in the loan is increased to its original amount before the stock basis is increased. That is, loan basis is the last to be decreased and the first to be increased. Any excess of losses or deductions over both bases is suspended until there are subsequent bases.
 - 2. A distribution in excess of stock basis does not reduce debt basis. If a loss and a distribution occur in the same year, the loss reduces the stock basis after the distribution. (See Example 30 in the text.)
 - 3. Except for loans from the shareholder to the corporation, corporate borrowing has no effect on S corporation shareholder basis. (See Examples 31 and 32 in the text.)
 - In the case where a shareholder has guaranteed a loan made to the corporation by a third party, there is no impact on basis unless payments have been made as a result of the guarantee. [*Estate of Leavitt*, 90 T.C. 206 (1988), *aff'd* 89-1 USTC ¶9332, 63 AFTR 2d 89-1437, 875 F.2d 420 (CA-4); *Selfe v. U.S.*, 86-1 USTC ¶9115, 57 AFTR 2d 86-464, 778 F.2d 769 (CA-11, 1985); *James K. Calcutt*, 91 T.C. 14 (1988)]
 - 4. If a loan's basis is reduced and repaid before it is restored, the shareholder will recognize gain on the repayment to the extent the amount received is in excess of the basis in the loan. Each repayment is prorated between the gain portion and the repayment of the debt. (Rev.Rul. 68-537, 1968-2 C.B. 372)
- g. Treatment of Losses (11.9, PPT Slides 67-76)
 - i. Net Operating Loss. Losses may flow through but are only recognizable to the extent of the shareholder's stock and loan basis. A shareholder's basis in the stock is reduced to the extent of the pass-through NOL, and the entity's AAA is reduced by the same deductible amount. [§§ 1367(a)(2)(C) and 1368(e)(1)(A)]
 - 1. Distributions made by an S corporation are considered before applying the loss limitations for the year. (See Example 34 in the text.)
 - 2. Although any unused loss may be carried forward, this carryover may be deducted in subsequent years only by the same shareholder when basis in the stock or loans to the

- corporation is restored. [§ 1366(d)] (See Example 35 in the text.)
3. Following the termination of an S election by the corporation, any unused losses are deductible only in the next year and are limited to the stock (not loan) basis as of the end of such year. If not deductible within this year, the benefits are lost forever.
 4. C corporation NOLs occurring before the S election cannot be utilized by the S corporation.
- ii. At-Risk Rules. The “at-risk” loss limitation rules apply to the shareholder, not the corporation. (See Example 36 in the text.)
 - iii. Passive Activity Losses and Credits. If the corporate activity involves rentals or the shareholder does not materially participate, any loss or credit that flows through is passive. The shareholder can apply such losses or credits only against income from other passive activities.
- h. Tax on Pre-Election Built-In Gain (11.10, PPT Slides 77–85)
- i. Without the built-in gains tax (§ 1374), it would be possible to avoid the corporate double tax on a disposition of appreciated property by electing S corporation status.
 - ii. The built-in gains tax generally applies to C corporations converting to S status. It is a corporate-level tax on any built-in gain recognized when the S corporation disposes of an asset in a taxable disposition within five calendar years after the date on which the S election took effect. The holding period begins on the date of the S election.
 - iii. General Rules. The base for the built-in gains tax includes any unrealized gain on appreciated assets held by a corporation on the day it elects S status.
 1. The highest corporate tax rate (currently 21%) is applied to the unrealized gain when any of the assets are sold. Furthermore, the gain on the sale (net of the tax itself) passes through as a taxable gain to shareholders.
 2. Recognized built-in losses and built-in gains are netted each year to determine the built-in gains tax base. The tax base then is limited to the entity’s taxable income for the year.
 3. Normally, tax attributes of a C corporation do not carry over to a converted S corporation. However, an S corporation can offset built-in gains with NOLs or unexpired capital losses from C corporation years.
- i. LIFO Recapture Tax
- i. Any LIFO recapture (excess value of inventory under FIFO over LIFO value) is recognized at the time of the S election and is subject to corporate-level taxes. No tax refund is allowed if the LIFO value is

higher than the FIFO value. The tax is payable in four equal installments.

- j. Passive Investment Income Penalty Tax
 - i. Passive investment income (PII) tax is imposed on S corporations that possess AEP from C corporation years and have gross receipts from the following:
 - Royalties.
 - Passive rents.
 - Interest.
 - Dividends.
 - Annuities.
 - ii. The tax rate for PII is at the highest corporate tax rate for the year (currently 21%).
 - 1. The tax rate is applied to the excess net passive income (ENPI). For the year, this is equal to the following.
$$(\text{PII in excess of 25\% of gross receipts for the year} \div \text{PII for the year}) \times \text{Net PII for the year} = \text{ENPI}$$
 - 2. ENPI cannot exceed income the S corporation would have had if it were taxed as a C corporation. (See Example 39 in the text.)
 - 3. Any passive income tax reduces the amount the shareholders must take into income.

IV. Other Tax Issues (11.11, PPT Slides 86–90)

- i. Other points may be made about the possible effects of various Code provisions on S corporations.
 - 1. S corporations must make estimated payments for built-in gain and PII taxes.
 - 2. S corporations are not subject to the 10% of taxable income limitation that is applicable to C corporations.
 - 3. Any family member who renders services or furnishes capital to an S corporation must be paid reasonable compensation. Otherwise, the IRS can make adjustments to reflect the value of the services or capital. [§ 1366(e)]
 - 4. Although S corporation income flows through to shareholders, this income is not payment for services. Therefore, it is not self-employment income and is not subject to the additional Medicare tax. Compensation for services rendered to an S corporation is, however, subject to FICA taxes for an employee-shareholder, but it is not considered wages for the QBID. (See Examples 40 and 41 in the text.)
 - 5. The \$10,000 limitation on the deduction for state and local taxes (“SALT cap”) can be minimized for S shareholders in a number of states that have adopted a pass-through entity tax (PTET) election. The PTET election allows a resident

- S corporation to pay state income taxes and treat such payment as an entity-level tax, even if a shareholder receives a deduction or credit for the tax for state income tax purposes.
6. In most cases, an LLC will be taxed as a sole proprietorship (in the case of a single-member LLC) or as a partnership (in the case of a multi-member LLC). However, under the Check-the-box Regulations, an LLC can file Form 8832 and elect to be taxed as a corporation.
 7. Under § 6417, an S corporation can elect to receive direct payments of certain credits from the IRS in lieu of passing those credits through to the shareholders. Such credits are treated as tax exempt income for reporting purposes.
 8. Some or all of the entity's income may be subject to a state-level income tax (e.g., a gross receipts tax or a "sting tax" on large S corporations in Massachusetts).
 9. An S corporation may issue § 1244 stock, thus allowing its shareholders to obtain ordinary loss treatment upon the disposition of such stock.
 10. The exclusion of gain on disposition of small business stock is not available for S stock.
 11. Losses may be disallowed due to a lack of a profit motive.
 12. A corporation electing under Subchapter S must file a Form 1120-S on or before the fifteenth day of the third month following the close of the corporation's tax year.
 13. A penalty is imposed for failure to file timely S corporation returns. The minimum penalty for returns filed in 2026 is \$255 per month times the number of S corporation shareholders.
 14. Partnership limitations on fringe benefits apply to shareholder-employees owning more than 2% of the S corporation.

V. Tax Planning (11.12, PPT Slides 91–95)

- a. When the Election Is Advisable
 - i. The following are some of the factors to consider when determining if an election is appropriate:
 1. If losses are anticipated, the S election may be highly attractive since the losses pass through to the shareholders.
 2. If shareholders are in high tax brackets, it may be desirable to avoid S corporation status and have profits taxed to the entity at the lower C corporation rate (e.g., 21%).
 3. If shareholders are in low individual income tax brackets, the pass-through of corporate profits is attractive, and reducing the combined income tax becomes the paramount consideration.
 4. If a C corporation has an NOL carryforward, it cannot be used in an S year.

5. S corporations generally use a calendar tax year.
- b. Making a Proper Election
 - i. To ensure a proper election:
 1. Make sure that all shareholders timely file a proper consent. If the shareholder's status is in doubt, get the consent anyway.
 2. Make sure the election is timely and properly filed, using certified or registered mail or a commercial delivery service.
 3. Ascertain when the election period begins to run for a newly formed corporation.
 4. An S election can be lost in several ways, and a five-year waiting period generally is imposed before another S election is available, so the S election must be preserved once it is made.
 - c. Operation of the S Corporation
 - i. Accumulated Adjustments Account. An understanding of the applicable laws is critical.
 1. All S corporations should maintain an accurate record of the AAA.
 2. Consider the AAA bypass election.
 - ii. Salary Structure. Carefully consider the salary paid to shareholder-employees. (See Example 42 in the text.)
 1. Reasonable compensation should be paid to family members who render services or provide capital.
 2. Deductions for various tax-free fringe benefits are denied to a more-than-2% shareholder-employee of an S corporation.
 - iii. Form 7203. Form 7203 should be completed for all shareholders for all tax years, even for years in which the form is not required to be filed. The form should be retained to ensure that the S stock (and loan) basis is maintained and accurate for any years in which Form 7203 is required, as well as for general planning purposes.
 - iv. Loss Considerations. A net loss in excess of tax basis may be carried forward and deducted only by the same shareholder in succeeding years. Before disposing of stock, a shareholder should increase the basis of such stock/loan to flow through the loss.
 - v. Avoiding the Passive Investment Income Tax. Too much PII may cause an S corporation to incur a penalty tax. Strategies to avoid this include reducing taxable income below the excess net passive income, generating gross receipts without increasing PII.

[\[return to top\]](#)